

UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION

Interconnection of Large Loads to the Interstate	)	Docket No. RM26-4-000
Transmission System	)	

COMMENTS OF THE ELECTRICITY CONSUMERS RESOURCE COUNCIL

The Electricity Consumers Resource Council (“ELCON”) respectfully submits these Comments in response to the Federal Energy Regulatory Commission’s (the “Commission” or “FERC”) October 27, 2025 Notice Inviting Comments¹ and the November 7, 2025 Notice Granting Extension of Time² to the Department of Energy’s (“DOE”) proposed Advanced Notice of Proposed Rulemaking (“ANOPR”)³ sent to the Commission on October 23, 2025 asserting the Commission’s jurisdiction over large load interconnection and detailing 14 principles the Commission and industry should adopt in managing large load interconnections.

ELCON is the national association representing large industrial consumers of electricity. ELCON member companies create a wide range of products from virtually every segment of the industrial community – we own and operate hundreds of major facilities and are significant consumers of electricity in the footprints of all organized

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² *Interconnection of Large Loads to the Interstate Transmission System*, Notice Granting Extension of Time, Docket No. RM26-4-000 (Nov. 7, 2025).

³ U.S. Department of Energy, *Ensuring Timely and Orderly Interconnection of Large Loads*, Advanced Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 23, 2025).

markets and other regions throughout the United States. Reliable electricity supply at just and reasonable rates is essential to our members' operations. As large industrials and manufacturers expand domestic operations, ELCON generally supports these efforts to ensure efficient and timely interconnection of emerging large loads to facilitate economic growth that solidifies the Nation's status as a leader in innovation. However, the Commission and the DOE should recognize that industrials and manufacturers have worked with their utilities and regulators for decades to ensure equitable access to generation supply and grid services and nothing in this proposal should impose unintended consequences on load interconnection arrangements that work for those customers.

ELCON appreciates DOE's leadership in exploring additional opportunities and efficiencies in meeting the challenges with powering this historic demand. This exponential growth in electrification, manufacturing, computing, and artificial intelligence has been well documented as have the challenges associated with providing adequate electric service necessary for this transformation. U.S. Manufacturers, alone, are projected to increase electricity demand by 36 gigawatts ("GW") in the next five years.⁴ However, the timeline for generation and infrastructure to deliver power to these facilities is misaligned. It can take twice as much time to plan and build the powering infrastructure than it does to construct a manufacturing facility. The

⁴ Bruce Tsuchida, Long Lam, Peter Fox-Penner, "Electricity Demand Growth and Forecasting in a Time of Change," The Brattle Group (May 2024); https://www.brattle.com/wp-content/uploads/2024/05/Two-Pager_Electricity-Demand-Growth-and-Forecasting-in-a-Time-of-Change_May-2024.pdf.

Commission has already begun its work in assessing how to power this demand while also protecting customers from the enormous supply and infrastructure costs needed to interconnect these large loads. While the Commission continues to grapple with these complex issues, we appreciate DOE's timely request for expedient action. As reflected in the ANOPR's principles, flexibility around co-location configurations and operations will be necessary in order to service new large loads most efficiently and cost-effectively while also protecting consumers from unreasonable costs.

A. The Commission Should Be Mindful of Jurisdictional Boundaries and Ensure It Has the Resources Necessary to Cover Expanded Activities

ELCON appreciates the DOE's efforts to reinforce the legal authority and jurisdictional boundaries under which the Commission can operate to better allocate the responsibilities for meeting the opportunities and challenges for connecting new large customers to the energy they need to power their expanding operations. While ELCON does not intend to dive into the legal justification for the Commission's authority under the Federal Power Act ("FPA"), we support the full use of the Commission's jurisdiction to ensure reliable power at just and reasonable rates. To that extent, ELCON supports the first principle that Commission jurisdiction over large load interconnection be consistent with the existing seven-factor test⁵ which takes into consideration a facility's location, voltage, ownership, and operational function.

Through extensive engagement with the states, the Commission has made recent

⁵ ANOPR at P 18.

improvements in the coordination and active participation of state regulators in planning for the future of the grid.⁶ The Commission must continue its engagement with states to ensure clear delineation of the roles and responsibilities in meeting new energy demand. As the Commission is now directed to assert its jurisdiction over customer interconnections normally overseen at the state level, states must be given ample opportunity for review and input as interconnection decisions will have some impact on retail rates. Coordination among all interested parties is essential as we navigate an extremely complex logistical challenge of meeting accelerated and expansive customer demand with infrastructure and regulatory constructs designed in a different era. Progress in technological advancements, innovation, and economic expansion should not be hindered by protracted disagreements over the regulatory process of providing electric service to those customers leading that progress. We encourage the Commission and the states to coordinate on the implementation of a comprehensive and flexible approach to interconnecting an array of large consumer configurations that ultimately shield other customers from the costs over the expected life of any installed infrastructure.

Separately, the Commission must incorporate any lessons learned in improving the generator interconnection process through Order No. 2003 and apply those same principles here. The Commission should ensure that it, or whichever entity it designates

⁶ See e.g., *Building for the Future Through Electric Regional Transmission Planning and Cost Allocation*, Order No. 1920-B, 191 FERC ¶ 61,026 (2025).

to study and oversee large customer interconnection, has the expertise and modeling capabilities of those regional entities responsible for generator interconnection or that currently manage large customer interconnection.

Designing principles around large load interconnection also presents an opportunity to better understand, model, and prepare load forecasts. Coordinating the generator interconnection process with the large load interconnection process would, in itself, improve load forecasting as well as siting decisions, as recognized in the ANOPR.⁷ Given the urgency of meeting these challenges and responding to the DOE's directive, ELCON recommends that the Commission expand upon the principles articulated in the ANOPR rather than developing *pro forma* procedures and agreements.

Similarly, in response to principle two, ELCON argues that establishing a brightline MW threshold to determine eligibility of certain large customers fails to capture the unique characteristics of these new large loads. Rather than instituting an arbitrary MW threshold, the Commission should understand what load interconnection protocols have already been established in certain regions and tailor principles to address the bottlenecks that are specific to new large loads and their electricity needs. Many ELCON members have engaged and continue to engage with their states and utilities to modernize large load interconnection processes and that work should be allowed to continue. To the extent the Commission establishes principles, procedures, or rules, responsible entities should be provided with an opportunity to demonstrate

⁷ ANOPR at P 20.

that its current rules and procedures meet or exceed any Commission guidelines.

B. The Commission Should Consider Implementing the Principles in the ANOPR to the Extent Not Already in Place and Provide for Flexibility in Hybrid Facility Configurations and Arrangements

ELCON has previously called for flexibility in hybrid configurations (or co-locating manufacturing facilities with generation facilities) to maximize the speed and value provided by behind-the-meter generation.⁸ That same flexibility should be reflected in the principles guiding large load interconnection. Varying configurations of large loads, sometimes combined with behind-the-meter generation, must be considered in interconnection studies to allow for the most efficient solutions to serving large loads. In that vein, ELCON urges the Commission to take serious consideration of the 14 principles in the ANOPR and, if necessary, apply additional lessons learned and best practices in a future rulemaking. With the aggressive timeline set forth by the DOE, general guidelines to meet rapidly expanding demand could provide immediate efficiencies and inform a more formal and standardized process for the future.

While ELCON agrees with principle four that the Commission should require implementation of readiness requirements, deposits, and penalties to large load interconnection requests similar to the generator interconnection process, these readiness requirements may already exist in many regions and the Commission should not take any action that would render these established and agreed upon requirements

⁸ Motion to Intervene and Comments of the Electricity Consumers Resource Council to PJM Interconnection, L.L.C.'s Answer to the Section 206 Show Cause Order, Docket No. EL25-49-000, pp. 5-6 (Apr. 23, 2025).

unworkable. However, ELCON recognizes that the same speculative project dynamic is present in load interconnection as it is in generator interconnection. Requirements that are specifically targeted to remove speculative projects that will never be built (or projects that ‘shop’ multiple connection points) will effectively reduce the number of studies to be performed and provide a more accurate load forecast. One of the fundamental concerns with meeting the challenge of rapid load growth is determining how much growth is coming, when, and where. These forecasts are fundamental to planning for resource adequacy and transmission upgrades and expansion. Inaccurate forecasts could lead to under procurement and under build thus jeopardizing reliability or have the opposite effect of overestimating the amount of load to be served and thus leaving other customers stranded with the costs of unnecessary infrastructure. The Commission should consider requiring large loads’ disclosure of alternative interconnection locations so that it can estimate the total expected load more accurately. If necessary, this disclosure could be made under confidentiality agreements.

ELCON appreciates the flexibility provided by principles five through seven⁹ to study load interconnection requests according to their operational needs and allow for expedited study for those customers agreeing to be curtailable and/or dispatchable. However, the Commission should implement safeguards that clearly define “curtailable” and “dispatchable” including details of how much, when, and how in order to enforce those commitments. Recognizing various configurations and service

⁹ ANOPR at PP 22-24.

types helps expedite and streamline the process rather than attempting to force customers into rigid and overly cumbersome models that do not reflect their actual energy demand. ELCON continues to have concerns with expedited study processes that favor certain resources or facilities. We caution the Commission to be aware that developers with massive amounts of capital can push other projects, that struggle to meet steep readiness obligations, further down the interconnection queue.

Consistent with the “cost causation” principle, ELCON agrees with principle eight that load be responsible for any necessary network upgrades necessary to connect their facilities to the grid.¹⁰ As large industrial facilities, ELCON is acutely aware that vast energy consumption and infrastructure needs should not adversely impact the costs borne by other customer classes. We continue to work with this Commission, our states, and our utilities to ensure that larger users are responsible for the infrastructure costs needed to supply their demand. We ask that the Commission provide flexibility in the financial and crediting mechanisms to pay for those upgrade costs as well as provide the option to build those upgrades as set out in principle nine.¹¹ The amount of capital necessary to build generation to meet large load demand can at times exhaust utility budgets. Large customers already investing capital to build their operational facilities can alleviate financial pressure on utilities by building their necessary energy

¹⁰ *Id.* at P 25.

¹¹ *Id.* at P 26.

infrastructure upgrades as well.

Furthermore, the Commission should expand upon Principle 12 to actively encourage large loads to become system solutions. Curtailable and dispatchable large loads provide a demonstrable system benefit akin to essential ancillary services (such as operating and contingency reserves). The final rule must establish clear mechanisms to compensate these customers for the reliability value they provide, creating a critical financial incentive to offer flexible service that ultimately defers costly transmission and generation build-out for the benefit of all ratepayers.

With regard to principle 14,¹² ELCON supports DOE and the Commission's position that *utilities serving large loads* must meet all applicable NERC reliability standards and tariff provisions. With respect to whether there should be new registration categories, NERC is currently engaging with its Large Load Task Force to determine whether any gaps exist in the reliability requirements to mitigate adverse system impacts of particular operating characteristics of *emerging* large loads. ELCON is actively engaged in this task force to assist NERC with tailoring any future registration requirements or mandatory reliability standards to target those facilities and operational characteristics that can have a direct impact on the reliable operation of the grid. At the April 17, 2025 FERC Open Meeting, NERC's Mark Lauby provided an overview of this work¹³ and we encourage the Commission to continue its support of

¹² *Id.* at P 31.

¹³ Mark Lauby, NERC Activities and Plans to Address Reliability Impacts from Large Load Integration

NERC's efforts. ELCON maintains that the electric system has reliably served industrial load for decades and it remains unnecessary to require owners/operators of traditional large industrial loads to be NERC registered entities and subjected to mandatory reliability standards. The load-serving entities responsible for providing service to those industrial loads have consistently ensured compliance with existing reliability compliance measures and will and should continue to do so. ELCON respectfully urges the Commission to recognize that traditional industrial owners or operators of large loads, irrespective of whether they own or operate certain Bulk Electric System elements, are not load-serving utility companies and therefore are not equipped in the same manner to implement NERC standards and associated compliance programs.

With respect to new registration requirements, if necessary, ELCON does not oppose limited registration for data centers and other computational loads as described by NERC's Large Load Task Force in Whitepaper #1¹⁴ that carry minimal compliance burdens that are commensurate with specifically identified reliability risks posed by the nature of these emerging loads. To the extent that FERC ultimately approves a new proposed reliability standard or a modification to an existing reliability standard, including new registration categories, ELCON respectfully urges FERC to ensure that these changes do not have the unintended consequence of making new registrants

(Apr. 17, 2025), <https://www.youtube.com/live/XCb2qpHG294?t=3434s>

¹⁴ NERC, "Characteristics and Risks of Emerging Large Loads," pp. 3-7 (July 2025), https://www.nerc.com/comm/RSTC_Reliability_Guidelines/Whitepaper%20Characteristics%20and%20Risks%20of%20Emerging%20Large%20Loads.pdf.

“public utilities” under the broad definition of that term in Section 201(e) of the FPA, 16 U.S.C. § 824(e). As the Commission is aware, it has exclusive jurisdiction over facilities used for the transmission of electric energy in interstate commerce.¹⁵ The term “public utility,” as defined in FPA section 201(e), means “any person who owns or operates facilities subject to the jurisdiction of the Commission.”¹⁶ Said differently, any person or entity that owns or operates facilities subject to FERC’s jurisdiction is a public utility. Requiring scores of companies to comply with all FERC requirements for public utilities¹⁷ would likely lead to a flood of requests to FERC for exemptions, exceptions or blanket authorizations excusing them from some of those FERC requirements¹⁸. These new layers of regulation and attendant compliance obligations would serve no public purpose, particularly given that the new registrants would not be providing FERC jurisdictional services at regulated rates.

CONCLUSION

ELCON commends the DOE and the Commission for recognizing the urgent national imperative to resolve the bottlenecks that impede the interconnection of large loads to the interstate transmission system. This proceeding is essential to ensuring

¹⁵ 16 U.S.C. § 824(b).

¹⁶ *Id.* at § 824(e).

¹⁷ See, e.g., FPA §§ 203, 204, 205 and 305, as well as 18 C.F.R. Part 141 and 18 C.F.R. Part 101 and §§ 41.10, 41.11 and 41.12, all of which could be implicated by making an industrial energy user’s facility(ies) part of the bulk electric system.

¹⁸ We believe that some of the FERC obligations are not waivable by FERC, so even if a company were to invest the time and money to petition FERC, it would be unlikely to avoid burdensome new compliance obligations.

reliable power at just and reasonable rates, which is the core mandate of the Federal Power Act and a necessary foundation for U.S. economic growth.

The final rule must reinforce clear jurisdictional boundaries between federal and state authorities and encourage coordinated operation of the load and generator interconnection queues with transmission planning, as one integrated system problem. This unified approach is necessary to align infrastructure development with verifiable demand, minimize cost misallocation, and strengthen grid reliability and resilience. The Commission must firmly adhere to the cost causation principle balanced with adopting flexibility principles that expedite interconnection for clearly-defined curtailable and dispatchable loads providing valuable system benefits while recognizing that existing arrangements for large load interconnection may already exist in some regions; and (3) ELCON urges the Commission to finalize a rule that is both efficient and durable, leveraging market signals and technological flexibility to manage this historic demand surge while fulfilling its statutory duty to protect consumers.

Respectfully submitted,

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